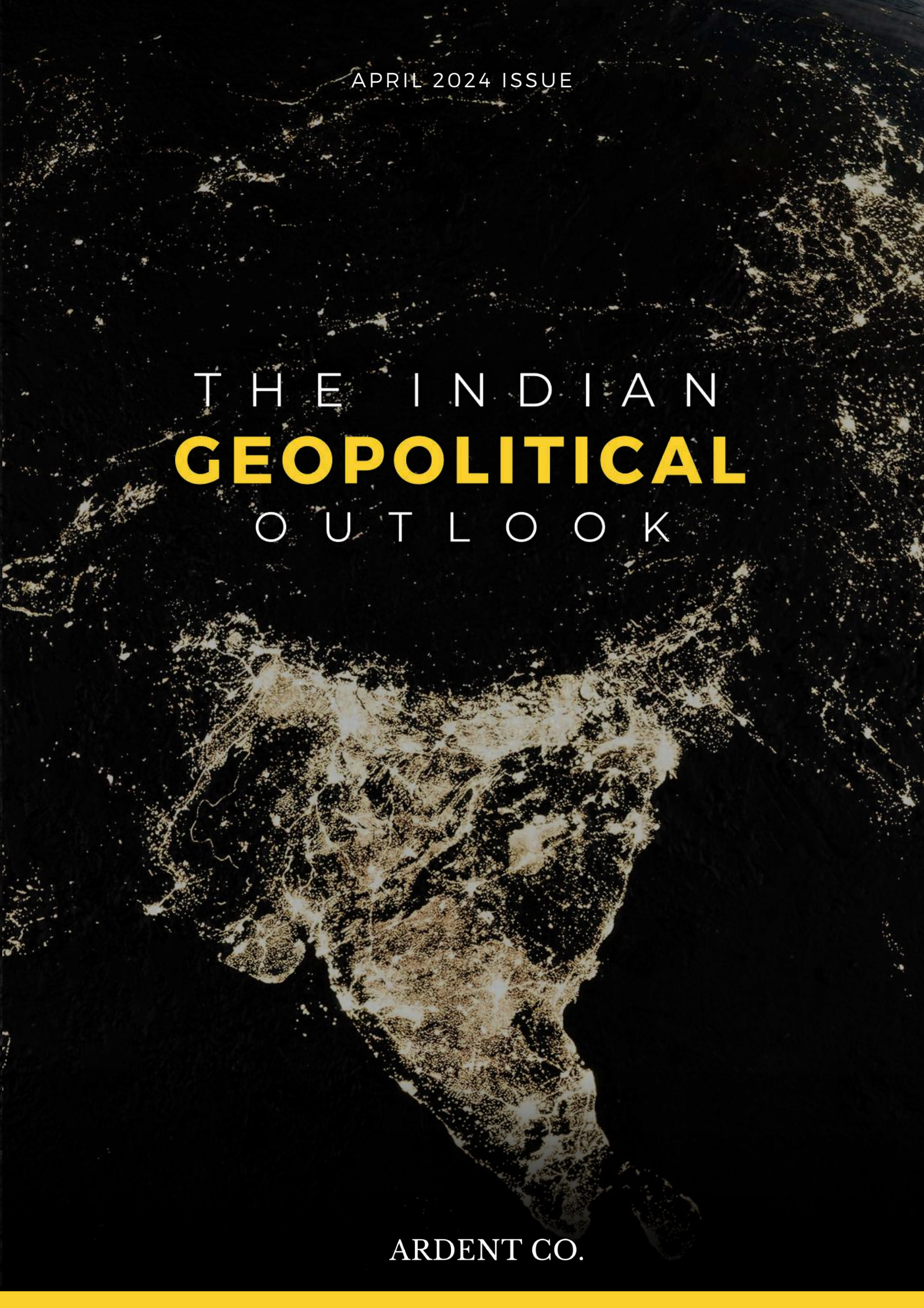
APRIL 2024 ISSUE

THE INDIAN GEOPOLITICAL OUTLOOK



ARDENT CO.

APRIL 2024 ISSUE

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Overview

Over the recent decades, India has extensively worked towards leaving an impression on the global stage. Through immense socio-economic growth over the recent years – with the country's GDP reaching a staggering 9.1% growth during FY2021-22 (despite a global economic slowdown due to the ongoing COVID-19 pandemic), the revolutionary consumer boom (piquing global financial/investment interest in the world's largest democracy), and its exponential growth as one of the fastest growing economies – have all contributed massively in projecting India as a leading power in the new world order. Today, India stands proudly as a socio-political partner globally, with the US emerging as India's biggest trading partner in FY2022-23 (bilateral trade amounting to US$128.55 billion), followed by other global powers such as China and the UAE.

India has been consistently focusing on asserting soft power tactics via robust foreign relations strategies (we are one of the fastest-growing diplomatic nations with 194 diplomatic posts as of 2024) and resuming diplomatic relations with countries like Greece and Egypt – which had remained rather dormant for the past few decades.

Our extensive participation on the global front through collaborative initiatives such as the Quadrilateral Security Dialogue (QUAD), witnessing greater involvement at global organizations through the Association of Southeast Asian Nations (ASEAN), and our involvement as a non-permanent member state at the United Nations has further strengthened our stance as a global leader. India's prodigious leadership in the G20 delegation, the establishment of the Raisina Dialogue (the country's flagship conference on economics and geopolitics), and substantial preferential market access and economic cooperation through several free trade agreements (FTA) and preferential trade arrangements (PTA) with over 50 countries has significantly bolstered India's position at the global stage to unprecedented levels.

Despite India's rather neutral stance in the world order – as is evident in the Russia-Ukraine and Israel-Palestine conflicts, India's "Look East" and "Neighbourhood First" policies continue to shine through in fostering robust international relations with its immediate neighbouring countries and Southeast Asia (particularly in the post-Cold War era), demonstrating India's increasing role as the voice of the Global South. Additionally, with the growing concerns amidst the increasing US-China geopolitical qualms and the increasing adoption of the "China+1" policy, India has emerged as a popular "third party" choice for the respondents (behind the European Union and Japan), as per the most recent survey conducted by ISEAS-Yusof Ishak Institute.

Considering India's increasing significance across various socio-economic and political domains, Ardent Co. presents the April edition of the Indian Geopolitical Outlook, emphasizing the key events observed across six continents over the past month that have impacted India's stature in the global order.

Key Highlights

- In the APAC region, Cambodia and India signed an MoU to foster bilateral cooperation in the field of human resource development in the civil service sector.

- The Maldives, despite the ongoing tumultuous relations, has now been exempted from any future prohibitions of food items from India, as India ships the first shipment of commodities to its counterpart for FY2024-25.

- The Philippines received its first batch of BrahMos cruise missiles as a part of the country's US$375 million deal with India, making it the first export customer for the missiles. Concurrently, India and Uzbekistan participated in the fifth edition of Exercise DUSTLIK, a bi-annual event aimed to bolster bilateral military ties.

- On the EMEA front, Belgium and India held the second edition of India-Belgium Foreign Office Consultations in New Delhi, discussing the need to promote collaborative efforts between the two countries.

- India and Congo are in the process of establishing an MoU to permit India to secure access to vital minerals, primarily copper and cobalt, from Congo.

- The European Commission recently announced the implementation of a novel 'cascade' regime for Schengen visas, in a bid to ease travel restrictions for Indian citizens with the provision of a maximum 5-year validity.

- India and Oman are anticipated to sign a trade deal in the coming months, aiming to solidify their economic ties, as India continues to bolster its relations in the Middle East.

- In the Americas, India and Brazil are expected to strengthen their defence/military ties, following extensive bilateral discussions and a compilation of a list of defence products to improve cooperation between the two nations.

- Guyana recently received two HAL-228 aircraft from India, manufactured by Hindustan Aeronautics Limited (HAL), in a bid to bolster Guyana's defence capabilities and enhance national connectivity.

- During the seventh round of negotiations for an India-Peru Trade Agreement, discussions extensively revolved around individual priorities and concerns, alongside the need for cooperation to develop mutual respect and benefit.

- The US naval vessels will now be permitted to dock and be repaired at Cochin Shipyard, according to the Master Shipyard Repair Agreement (MSRA) - an agreement that was conceptualised during last year's G20 Summit.

CAMBODIA

To enhance civil service competency, a Memorandum of Understanding (MoU) has been signed between the Department of Administrative Reforms and Public Grievances (DARPG) of India and the Ministry of Civil Service of Cambodia. This agreement, with a five-year term, fosters bilateral cooperation in the realm of human resource development in the civil service sector. The MoU's primary objective is to cultivate collaboration and strengthen the exchange of knowledge and expertise between the two nations.

THE MALDIVES

Despite the ongoing strains in the relations between Male and New Delhi, the latter has resumed limited exports of essential commodities (such as sugar, wheat, and rice) to its counterpart. Furthermore, India, which continues ease its export ban of various food commodities, ensured the exemption of the archipelago nation from future restrictions that may arise, following the shipment of these commodities for FY2024-25 from April 1st, 2024.

The recent victory of President Muizzu's party (People's National Congress) during the parliamentary elections could further exacerbate the nation's stance against India while pushing for a more pro-China narrative through its upcoming policies.

THE PHILIPPINES

In a landmark move to bolster bilateral ties in the region, India recently delivered the first batch of BrahMos supersonic cruise missiles to the Philippines, as a part of the Philippines' US$375 million deal with India for three batteries of the BrahMos – making the archipelagic nation the first export customer for the joint venture by India and Russia.

The agreement stipulates the provision of three missile batteries, along with comprehensive training for both operators and maintenance personnel. Additionally, the contract encompasses the delivery of an Integrated Logistics Support package to ensure the effective operation and upkeep of the missile systems. These systems are intended for primary use by the coastal defence regiment of the Philippine Marine Corps.

UZBEKISTAN

A contingent of the Indian Army participated in the fifth iteration of Exercise DUSTLIK, a joint military exercise co-hosted by India and Uzbekistan. The biannual event, which was hosted from April 15th to 28th, 2024, in Termez, Uzbekistan, signifies a significant progression in the burgeoning military cooperation between the two nations.

Ex-DUSTLIK, alternating between India and Uzbekistan as the host nation, functions as a platform to bolster military cooperation and develop combined capabilities for executing joint operations in various terrains. Following the prior iteration held in Pithoragarh, India, in February 2023, this year's exercise aims to capitalize on past achievements and further solidify bilateral ties.

BELGIUM

During the second India-Belgium Foreign Office Consultations (FoC) held in New Delhi on April 10th, 2024, the two nations pledged to collaborate towards the swift finalization of a Migration and Mobility Partnership Agreement. This agreement signifies a significant step forward in strengthening bilateral relations between India and Belgium.

The discussions encompassed a myriad of areas that hold promise for enhanced cooperation, such as trade, technological advancements, and collaborative endeavours undertaken within international forums.
Simultaneously, a particular focus was placed on fostering deeper ties, especially with the European Union, along with emphasis on addressing critical issues such as the green energy transition, pharmaceuticals, port cooperation, and exchange on key global challenges and regional affairs.

CONGO

In a move to secure access to critical minerals, primarily copper and cobalt, India is establishing a Memorandum of Understanding (MoU) with the Democratic Republic of Congo (DRC). The MoU, currently in the draft stage and anticipated to be finalized within the next three months, would grant India the right to explore for minerals, within the DRC. The DRC, boasting the position of the second-largest nation in sub-Saharan Africa, is a prominent player in the global copper mining industry.

EUROPEAN UNION

In a bid to streamline the visa application process for Indian citizens, the European Commission has implemented a novel "cascade" regime for Schengen visas, superseding the standard regulations outlined in the Visa Code and offering substantial benefits to frequent Indian travellers, aligning with the objectives enshrined within the EU-India Common Agenda on Migration and Mobility.

Under the new regime, operational since April 18th, 2024, Indian nationals residing in India can be granted long-term, multi-entry Schengen visas with a two-year validity period, following the utilisation of two visas within the previous three years. Following this initial two-year visa, a subsequent five-year visa may be issued, contingent upon the remaining validity of the applicant's passport, granting recipients the freedom of movement within the Schengen Zone for short-term stays, with a maximum duration of 90 days within any 180-day period.

OMAN

India and Oman are expected to sign a trade deal in the coming months, aimed at solidifying their economic ties. This development aligns with India's strategic objective of bolstering its presence within the Middle East.

Faced with limited progress on a comprehensive trade deal with the Gulf Cooperation Council (GCC), India has strategically shifted its focus towards establishing bilateral agreements with individual GCC members, including Oman and the United Arab Emirates.

As Oman and India continue to establish robust bilateral ties, Oman has agreed to eradicate duties on Indian exports – encompassing a diverse range of products, including agricultural goods, textiles, automobiles, and precious stones and jewellery, among others – valued at approximately US$3 billion annually. Concurrently, India has agreed to reduce import duties on certain petrochemicals, aluminium, and copper originating from Oman, while simultaneously implementing measures to cap the import volume of these commodities.

BRAZIL

In a bid to further solidify their security ties, India and Brazil are working on the compilation of a list of approximately two dozen defence products, including armoured cars and small arms, which could be leveraged for joint development and manufacturing opportunities.

This development comes after a series of high-level visits to India by Brazilian defence delegations, focusing on agreements to share military information and defence cooperation.

GUYANA

As a move to bolster relationship with the South American nation, Guyana received two HAL-228 aircrafts manufactured by Hindustan Aeronautics Limited (HAL), a state-owned Indian aerospace company, in April 2024. These aircrafts are intended to bolster Guyana's defence capabilities and enhance national connectivity.

This development follows the establishment of the Defence Line of Credit (LOC) between India and the Caribbean region, valued at USD 23.37 million. Facilitated by the Export-Import Bank of India (Exim Bank), this LOC specifically funded the procurement of these two aircraft for Guyana's defence forces.

PERU

The seventh round of negotiations for a potential India-Peru Trade Agreement concluded in New Delhi, India, from April 8th to 11th, 2024. The latest round of discussions extensively revolved around concerns and priorities of their counterparts, with emphasis on mutual respect and benefit.

Peru has grown to become India's third-largest trading partner within the Latin American and Caribbean region – over the past two decades, trade between the two nations has witnessed a significant increase, rising from US$66 million in 2003 to approximately US$3.68 billion in 2023.

The envisioned trade agreement is expected to serve as a cornerstone for future collaboration across various sectors, paving the way for advancements and mutual benefit for both countries.

To ensure that any outstanding issues are addressed before the next in-person meeting – anticipated for June 2024 – virtual intersessional negotiations are planned to precede the formal talks.

THE US

Cochin Shipyard, a government-owned enterprise, according to the Master Shipyard Repair Agreement (MSRA), is now authorised to dock and repair US naval vessels.

The MSRA, conceptualised during the last year's G20 Summit between the US and India, aims to strengthen India's role in supporting the US' forward naval deployment in Asia.

This development follows similar agreements signed by Larsen & Toubro (L&T) for Kattupalli Port near Chennai and Mazagon Docks in Mumbai – which collectively contribute to the establishment of a network of maintenance hubs in the Indo-Pacific region to service US naval assets.

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